

Dividend per Share

Investors often use the dividend per share as a measure to determine the real value of a share. Proponents of this school of thought argue that the earning per share is of no real value to anyone but those who can determine the policies of a company. The income of an investor is the dividend that he receives. It is therefore submitted that the value of a share should be a multiple of the dividend paid on that share.

How does one value a share? If one assumes that the gains made by an investor would include an increase in the price of the share, i.e. capital appreciation, and dividend income per share, the price would depend on the capital appreciation one expects. If the share has regularly appreciated by 30% every year, a low dividend yield would be acceptable.

Illustration

The shares of Divya Jeans Ltd. which has a market value of Rs. 40 has appreciated during the last three years by an average percentage of 25. If an investor is aiming at a yield of 30 per cent, a dividend of 5 per cent would be adequate. In such a scenario if Divya Jeans has paid a dividend of 15%, its market value on the basis of dividend per share would be (assuming 15% dividend on the face value = 5% on the market value) as follows:

$$\frac{\text{Rs. 1.50 (dividend)}}{\text{Rs. 5 (return re-}} \times 100 = \text{Rs. 30}$$

On this basis the shares of Divya Jeans is overpriced.

Conversely, if a share does not appreciate by more than 5% and a 30% return is required, a high dividend yield would be expected.

If the shares of PDP have been appreciating at 7% per annum and the company declares a dividend of 30% or Rs. 3 per share the real value of the share would be (30% dividend will be construed as a yield of 23%):

$$\frac{\text{Rs. 3 (dividend per share)}}{\text{Rs. 23 (return required)}} \times 100 = \text{Rs. 13}$$

It must be noted that this method of valuation is so ridden with assumptions (appreciation every year and expected return) that it is rarely used.